

IBD Accelerator – Assessment 1(Valuation Case Study)

Valuation of Tesla

Tesla Key Numbers:

Market Cap: \$1,280.55 B (Share price x Shares outstanding)

Net Debt: -\$27.8 B Tesla has more cash than debt: Total Debt – Cash

Enterprise Value (EV): \$1.25 T (Market Cap + Net Debt)

EV / EBITDA: 116x

Peer Comparison “As of late Nov 2025, based on publicly available data”:

Company	Market Cap (B \$)	EV (B \$)	EBITDA (B \$)	EV / EBITDA
Tesla	1,280	1,252.2	10.8	116.5x
GM	65,9	174.69	16.56	8.2x
Ford	49,89	127,57	9.71	14.9x

Why Tesla's Multiple is Higher:

Net Cash / Low Debt & Reinvestment Potential:

- Low Financial Risk, allows reinvestment to expand production and tech, R&D,
- Tesla has reduced financial risks compared to GM/Ford making investors willing to pay a premium

Brand Strength / Market Perception:

- Premium EVs, Full Self-Driving Software (FSD),
- Diverse market with EV Charging network,
- High-profile CEO with market Influence
- High Investor excitement drives the stock price
- Tesla is seen as a leader within technology and not just manufacturing

Margin Profile / Revenue Growth:

- Efficient EV production, diverse market: Solar & Energy products, EV charging Network, High profitability with low debt.
- Investors expect the revenue growth to continue to be faster than the traditional automakers.

Income Approach:

EBIT = \$81B

Depreciation & Amortization (D&A) = \$6B

Tax Rate = 22.3%

Capex (Capital Expenditures) = \$8,9B

Unlevered Free Cash Flow = \$60B

WACC = 9%

UFCF Growth Forecast = 5% per year (5 – year projection)

Forecast UFCF (5-year projection):

(Reasonable growth rate 5%)
WACC 9%)

Discounted UFC (Using

Year	UFCF Forecast (B \$)
1	$60 \times 1.05 = 63.0$ B
2	$63 \times 1.05 = 66.15$ B
3	$66.15 \times 1.05 = 69.46$ B
4	$69.46 \times 1.05 = 72.94$ B
5	$72.94 \times 1.05 = 76.59$ B
Year	Discounted UFCF 9% (\$B)
1	$63 / 1.09^1 = 57.8$
2	$66.15 / 1.09^2 = 55.7$
3	$69.46 / 1.09^3 = 53.6$
4	$72.94 / 1.09^4 = 51.5$
5	$76.59 / 1.09^5 = 49.6$

Sum of

discounted UFCF \$268.2B

Terminal Value (TV) (Exit Multiple):

Year 5 EBITDA: 13.79 B (projected)

Exit Multiple 25x (avoids hype from 116x)

Terminal Value (TV) : $13.79 \times 25 = \$344.75$ B

Discounted terminal value (PVTV) = $344.75 / 1.09^5 = 224.1$ B

EBITDA = 10.8B

Year	EBITDA
1	11.34
2	11.91

3	12.51
4	13.13
5	13.79 B

TV = EBITDA x Exit Multiple, TV = 13.79 x 25 = 344.75 B

Terminal Value: 344.75 B

Discount Terminal Value

PVTV = $344.75 / (1.09)^5 = 224.1$ B

Enterprise Value (EV) Using Exit Multiple:

EV = PV (Years 1-5) + PVTV = 268.2 + 224.1 = 492.3 B

Equity Value: Equity = EV – Net Debt = 492.3 – (-27.8) = 520.1 B

Intrinsic Share Price = 520.1 / 3.53 B Shares = \$147/Share

DCF = \$147/Share

Justification:

- 5% annual growth – reasonable for a high growth company but avoids over confidence, Tesla's actual growth rate has been close to 20-30% per year but it is unrealistic to project it to continue for the next 5 years.
- Using Exit Multiple – to calculate Tesla's Terminal value, Gordons Growth Model would be easier but not possible because Tesla has zero dividends.
- I use 25x EBITDA to avoid the unrealistic 116x valuation, when calculating it is important to see beyond the current hype and instead reflect the long-term normalized expectations
- I used WACC 9% based on Tesla's risk profile, leverage and the typical for automotive/tech company range.

Interpretation: DCF vs Market Value

DCF = \$147/share

Market Price = \$362 / share

Analysis:

Tesla is slightly overvalued when comparing DCF to Market Price, this reflects:

- Investor Hype
- Technology premium
- FSD expectations

- High growth narrative